

2 Margins (EBIT/Revenue)

Operating margin can be defined as EBIT/Revenue. EBIT margin is also called operating margin since Interest is a non-operating item and taxes do not affect business transactions.

Operating Assets						
Operating Asset Turnover	2.16	2.07	1.87	1.92	1.78	1.00
Margins(EBIT/Revenue)	18.85%	18.89%	19.63%	17.48%	19.26%	20.29%
ROA(EBIT/Operating Assets)	40.8%	39.1%	36.7%	33.5%	34.3%	20.3%
ROA (PAT/Avg Operating Assets)	62.11%	60.50%	61.29%	54.83%	53.94%	24.01%

Usually, the Operating Margin is analyzed along with that of Operating Asset Turnover. In cases where company has poor asset turnover and poor margins, the company will struggle to generate return on capital. In rare cases, companies have high asset turnover as well as margins and these are exceptional companies. In other cases, companies have-

High Operating Asset Turnover with low Operating Margin

High Operating Margin with low Operating Asset Turnover



Many corporate finance decisions come down to trade-off between margins and asset turnover for the company.